

Olevel economics

Chp #1 Demand and Supply

Topic :- Demand.



Zarak
Mishtaq

Demand and supply

Demand

Need

want

willingness

consumer

ability / income

Effective demand

Relationship

+ve

-ve

Zai

2m

↑
↓

↑
↓

Zai

2m

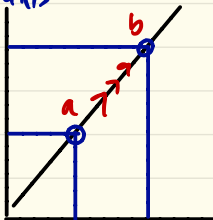
↑
↓

↓
↑

same
direction

opposite
direction

Y-axis

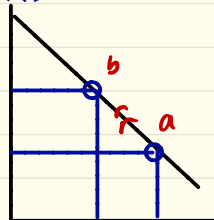


X-axis

Upward
sloping

(Best buddies)

Y-axis



X-axis

Downward
sloping

(Tami Dushman)

Note:- Demand represents willingness and ability of a consumer to purchase a good or a service.

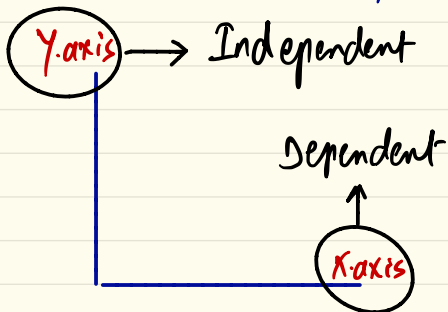
Law of demand

price $\uparrow$ Quantity demand $\downarrow$
units/volume

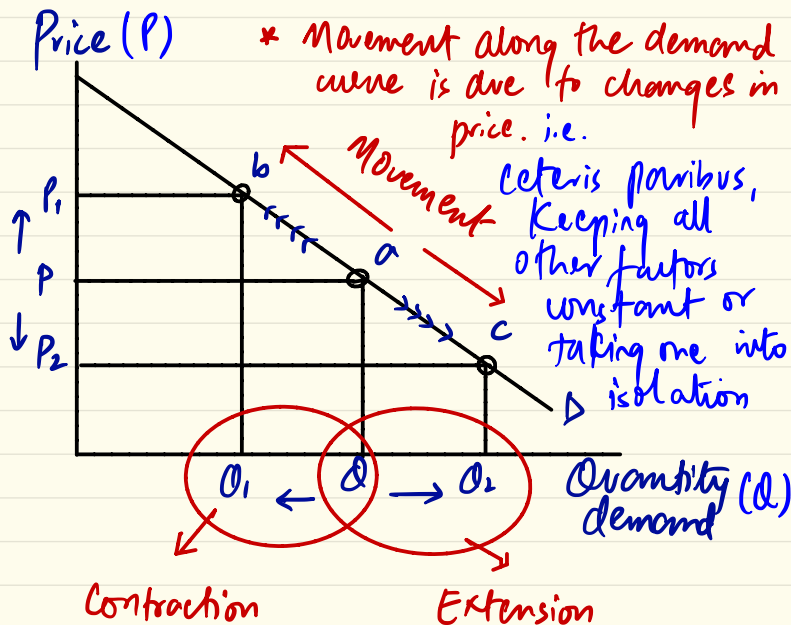
price $\downarrow$ Quantity demand $\uparrow$

Negative Relationship
Downward sloping

Independent vs Dependent
 $\downarrow$ Price $\downarrow$ Quantity demand



Demand curve



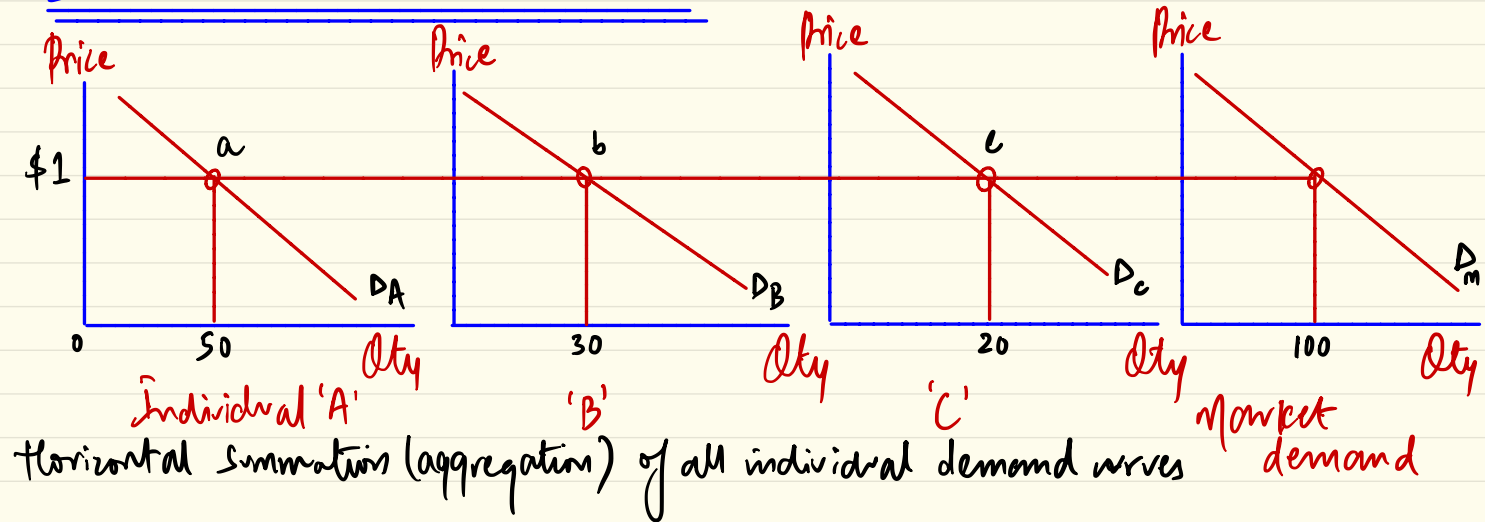
- Steps:-
- 1) Price
 - 2) Quantity demand
 - 3) Movement

$P \uparrow$	$P \downarrow$
$P - P_1$	$P - P_2$
$Q - Q_1$	$Q - Q_2$
$a - b$	$a - c$

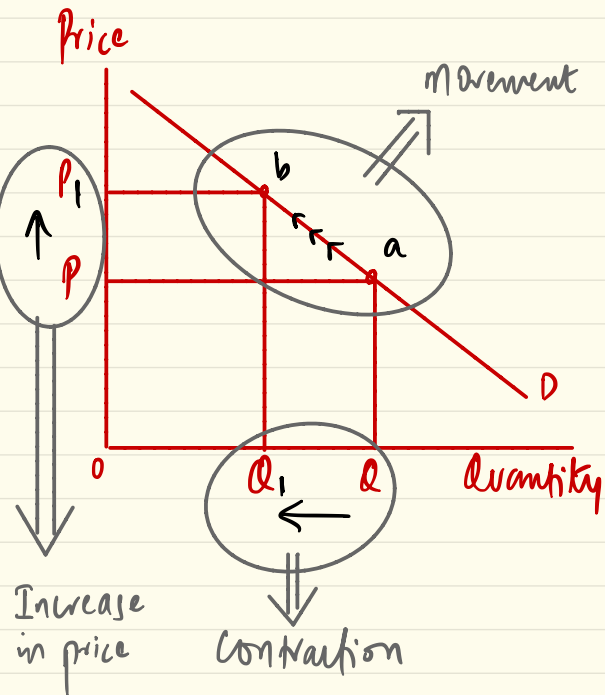
Law of demand:- There is a negative relationship between price and quantity demand. An increase in price will contract quantity demand and a decrease in price extends quantity demand.

Diagram:- An increase in price from P to P_1 will contract quantity demand from Q to Q_1 and therefore movement along the demand curve from point a to b . While a decrease in price from P to P_2 will extend quantity demand from Q to Q_2 and therefore movement along the demand curve from point a to c .

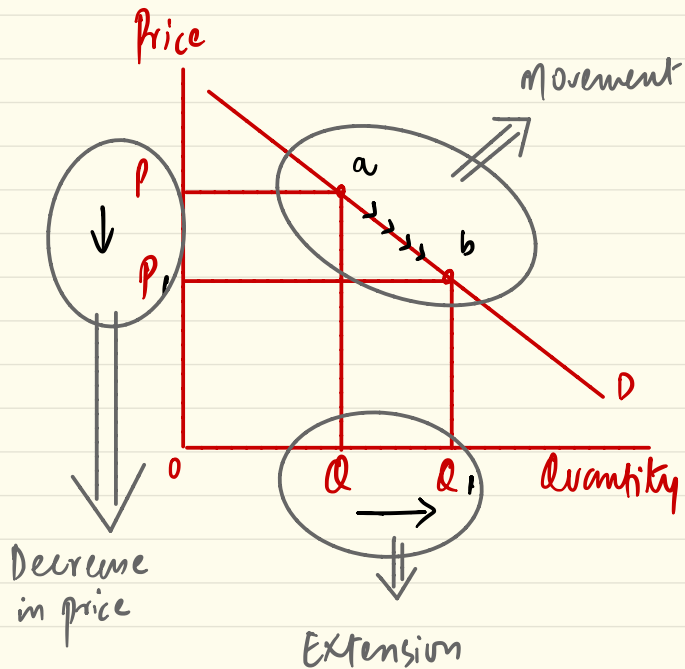
Individual and market demand



Effect of increase in price



Effect of decrease in price



Questions (H.w #1)

Q1 Define demand ? 2

Q2 Explain Law of demand ? 4

Q3 Using a diagram explain the effect of rise in price on quantity demanded? 6

Q4 Using a diagram explain the effect of fall in price on quantity demanded? 6